

Procure Space ETF

SPCX NASDAQ

Buy	\$148.54 ▲ 0.35%	12M Price Target \$175.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.96T
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SPCX: Space ETF Consolidates as SpaceX Deal Flow Accelerates

WHAT HAPPENED

- SPCX barely moved (+0.35%) on light volume — about half the recent average — which usually means traders are digesting, not panicking. The stock is sitting at 36% of its 52-week range (\$104-\$225), so it's closer to the lows than the highs, which is interesting given all the positive space news flow.
- Big catalyst overnight: Mizuho put out a bullish SpaceX call tied to a fresh \$1.11 billion monthly contract, and Alphabet is talking about putting TPU chips (their AI processors) in space. Both are direct tailwinds for the space-industrial complex that SPCX tracks.

WHY IT MATTERS

The quiet price action masks what's actually a bullish setup — options traders are leaning hard into calls (put/call ratio of 0.58, meaning way more people betting up than down), and there's unusual call buying at the \$147-148 strikes with 6-8x normal open interest. That's smart money positioning for a move higher, likely tied to the Q4 government contract cycle. The bigger picture: we're in a moment where "space" is transitioning from speculative to essential infrastructure — Alphabet putting compute in orbit, SpaceX printing billion-dollar monthly deals, and the Space Force operating with an expanded budget. SPCX is the lazy way to own that theme without picking winners.

POLICY & POLITICAL WATCH

The big policy tailwind is the FY2027 defense authorization, which continues to expand Space Force funding — space is one of the few line items with true bipartisan support because it's framed as competition with China. Watch the FCC's ongoing spectrum allocation decisions for satellite broadband (huge for Starlink competitors held in SPCX), and any movement on the commercial space regulatory reform bill that would streamline FAA launch licensing — that's been a bottleneck for Rocket Lab and others. The U.S.-Iran peace talks in today's headlines are a mild negative for pure defense but neutral-to-positive for space, since space budgets are increasingly untied from traditional conflict spending.

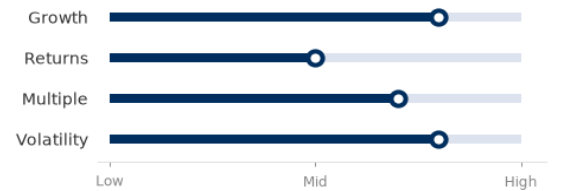
IS IT EXPENSIVE?

SPCX is an ETF, so "valuation" really means the weighted valuation of its holdings — currently trading at a blended multiple that's rich vs. industrials broadly but reasonable vs. its own history given the earnings acceleration in names like Rocket Lab, Iridium, and Planet Labs. At 36% of its 52-week range with the sector fundamentals improving, you're not paying peak prices for peak sentiment — that's a decent setup. The pushback: some holdings still don't make money, so if rates stay high, unprofitable growth names inside the ETF get repriced lower.

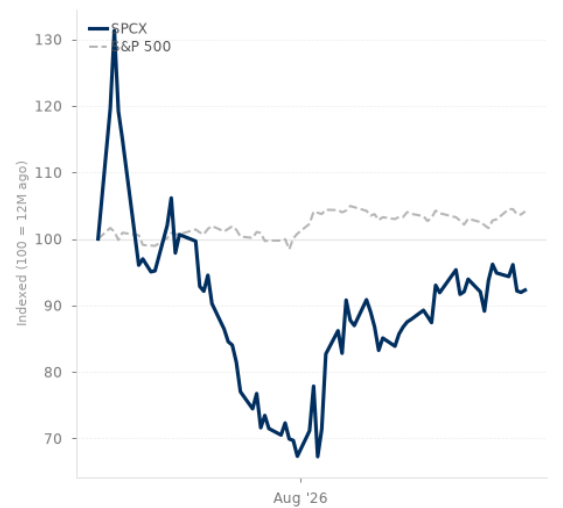
Key Data

Price (USD)	\$148.54
12M Price Target	\$175.00
Upside / (Downside)	+17.8%
Market Cap	\$1.96T
FY2026E Revenue	\$693M
FY2027E Revenue	\$940M
FY2026E EPS	(\$2.10)
FY2027E EPS	(\$1.50)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$165.00	\$155.00	\$138.00
6 Months	\$195.00	\$170.00	\$130.00
1 Year	\$230.00	\$175.00	\$120.00
2 Years	\$290.00	\$210.00	\$110.00
5 Years	\$400.00	\$280.00	\$100.00
10 Years	\$600.00	\$380.00	\$90.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+1.10%) and Industrials (+0.91%) — SPCX sits at the intersection of both, which is why it's holding steady. AI infrastructure demand is spilling into space (satellites, orbital compute) and defense-industrial names are catching bids on Space Force optimism.

COOLING OFF: Financials rolling over on the week (-1.55%) as rate cut expectations get pushed out — that's a mild headwind for unprofitable growth names inside SPCX.

ROTATION WATCH: Money is quietly rotating from pure software AI plays (which are getting called "overvalued" per today's Yahoo headline) into hardware/infrastructure AI — space is a beneficiary because satellites ARE infrastructure.

RELATED PLAY: If SPCX runs, look at ITA (defense ETF) and companies making the ground infrastructure — Viasat, Comtech, and even some of the specialty chipmakers supplying rad-hardened processors for space applications.

WHO'S WINNING IN THIS SPACE?

- AMD (Advanced Micro Devices): CEO Lisa Su "having a September to remember" per today's news — AI chip demand is spilling into every adjacent sector, including space compute.
- GOOGL (Alphabet): TPU-in-space narrative is early but real — makes them a space-adjacent play and validates the "space is infrastructure" thesis.

SPCX CONTEXT: SPCX is lagging the broader tech rally, sitting well below its 52-week high while tech ETFs push higher. That's either a setup for catch-up (my read) or a signal that space-specific concerns are keeping big money on the sidelines. Given the options flow, I think it's catch-up.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but this is an ETF with concentration risk, so I'm not pounding the table.

POSITION SIZE: 3-5% of portfolio — meaningful enough to matter, small enough that a launch failure doesn't ruin your year.

ENTRY POINTS: Current levels (\$148) are fine, but I'd add aggressively on any pullback to \$140 — that's where recent support has held.

TIME HORIZON: 12-24 months, with the catalyst being Q4 government contract announcements and the FY2027 defense budget final numbers.

WHEN TO BAIL: If a top-3 holding has a major operational failure, or if we see the Space Force budget cut by more than 15% in a continuing resolution fight, I'm out.

HEDGING: Simplest hedge — pair it with a small short on a broad tech ETF like QQQ. That way if the whole market tanks, your short cushions the fall and you're really just betting on space outperforming tech.